BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH, NEW DELHI

COMPANY APPLICATION NO.CA (CAA) – 110(PB)/2018

Order pronounced on: 04.07.2018

Coram:

CHIEF JUSTICE (Rtd.) SHRI M.M. KUMAR

HON'BLE PRESIDENT

&

SHRI S.K. MOHAPATRA

MEMBER (TECHNICAL)

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

OF

SUPER CASSETTES INDUSTRIES PRIVATE LIMITED

(APPLICANT NO. 1/DEMERGED COMPANY)

AND

VIJARSHAN VENTURES PRIVATE LIMITED

(APPLICANT NO. 2/RESULTING COMPANY)

For the Applicants: Mr. Rajeev K Goel, Advocate

MEMO OF PARTIES:

SUPER CASSETTES INDUSTRIES PRIVATE LIMITED
A Company incorporated under Companies Act, 1956
Having its registered office at:
E -2/16, Ansari Road, Darya Ganj,
New Delhi -110002

... APPLICANT NO.1/DEMERGED COMPANY

VIJARSHAN VENTURES PRIVATE LIMITED
A Company incorporated under Companies Act, 2013
Having its registered office at:
H. No. 4895, Plot No. 99, Ward No. XI,
Block – S, Bharat Ram Road, South Daryaganj,
New Delhi - 110002

.....APPLICANT NO.2/RESULTINGCOMPANY

ORDER

M.M. KUMAR, PRESIDENT

This is a First Motion application jointly filed by the Applicant companies herein, Super Cassettes Industries Private Limited (Applicant No. 1/Demerged Company) and Vijarshan Ventures Private Limited (Applicant No. 2/Resulting Company) and their respective Shareholders and Creditors under sections 230-232 of the Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 in relation to the Scheme of Arrangement by way of Demerger (for brevity the "SCHEME") proposed amongst the applicants. The Scheme has been placed on record **(Annexure A - 4)**. The applicants above named have preferred the instant application for the following purposes which are evident from the reliefs sought for in the Application, namely:

a. Convene separate meetings of Shareholders, Secured Creditors and Un Secured Creditors of the Demerged Company; and

Shareholders of the Resulting Company on Saturday, 25th August, 2018, at Studio B, Laxmi Video Studio, Plot No. 5, Sector -16A, Film City, Noida-201 301, Uttar Pradesh, as per the following schedule:

Meeting Of	**Time**
Shareholders of the Demerged Company	12:30 noon
Shareholders of the Resulting Company	1:30 P.M.
Secured Creditors of the Demerged Company	2:30 P.M.
Un-secured Creditors of the Demerged Company	3:30 P.M.

Or at such other place, date and time(s) as may be fixed by this Hon'ble Tribunal.

b. Appoint a common Chairperson and Alternate Chairperson to chair the aforesaid meetings and to direct the Chairperson to file his/her report(s) on the meetings before

this Hon'ble Tribunal. A common Scrutinizer may also be appointed for the aforesaid meetings.

c. Fix the quorum for the meetings as per the following:

Meeting Of	**Quorum**	
	No.	**% of Total Value**
Shareholders of the Demerged Company	2	25%
Shareholders of the Resulting Company	2	There are only 2 Shareholders
Secured Creditors of the Demerged Company	1	There is only one Secured Creditor
Un-secured Creditors of the Demerged Company	25	25%

Further, if the Quorum is not present in the meetings, the meetings may be adjourned for 30 minutes and the person(s) present in the meetings may be treated the proper quorum. Or such other quorum may be fixed as this Hon'ble tribunal may deem fit and proper.

d. Voting may be allowed on the proposed Scheme of Arrangement by voting in the meeting, through postal ballot or through electronic means, as may be applicable to the Applicant Demerged Company under the Companies Act, 2013 and Rules made there under.

e. Voting by proxies may be allowed at the meetings. Further, valid proxies may also be counted for the purpose of quorum for the meetings.

f. Direct publication of the notice of the proposed meetings in "The Business Standard" (English, Delhi Edition) and

"Business Standard" (Hindi, Delhi Edition) Newspapers or in such other manner, as the Hon'ble Tribunal may direct.

g. Direct dispatch of individual notices of the proposed meetings by Speed Post or Registered Post or Courier or through e-mail, or in such other manner, as the Hon'ble Tribunal may direct.

h. Pass further appropriate directions for convening, holding and conducting of the meetings as prayed above.

i. Direct service of notice of the present Application on (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi;(b) the Registrar of Companies, Delhi and Haryana, New Delhi; and (c) the Income Tax Department; and

j. Pass such other/further order(s) as this Hon'ble Tribunal may deem fit and proper.

2. The Rationale and Benefits of the "SCHEME" as set out in Scheme of Arrangement states for the following: *The circumstances which justify and/or necessitate the present Scheme of Arrangement for De-merger of Moulding Unit of Super Cassettes Industries Pvt Ltd into Vijarshan Ventures Pvt Ltd are, inter alia, as follows:*

a. *The Demerged Company - Super Cassettes Industries Pvt Ltd is engaged in production of motion picture films, manufacturing of audio/video CDs, acquiring & licensing of audio/visual music rights, digitisation of music, trading of consumer goods and appliances such as music system, LED TV, washing machine, ceiling fan, etc., and other related activities under "T-series" Brand. The Demerged Company is a prominent player in Hindi Film and Music Industry in India. Over a period of time, the Company has also diversified into real estate investment and leasing business, manufacturing of plastic moulded goods and components (Moulding Unit), etc.*

b. *Moulding Business has substantially different character than the core business of the Company. Moulding Business requires sharper focus and management bandwidth for growth; which is not possible as a single entity.*

c. *Given the distinct nature of Moulding Business from the other business activities, it is proposed to hive-off Moulding Unit from the Demerged Company into the Resulting Company, which, upon demerger, will be owned by the shareholders of the Demerged Company in the same manner and proportion in which they own shareholding of the Demerged Company.*

d. *The proposed de-merger will enable the Demerged Company and the Resulting Company to raise necessary funds, invite strategic investors and other stakeholders for their respective businesses.*

e. *It will impart better management focus, will facilitate administrative convenience and will ensure optimum utilisation of various resources by these companies.*

f. *The proposed de-merger will provide scope for independent expansion of various businesses. It will strengthen, consolidate and stabilize the business of these Companies and will facilitate further expansion and growth of their business.*

g. *The proposed De-merger will have beneficial impact on the Demerged Company and the Resulting Company, their employees, shareholders and other stakeholders and all concerned.*

h. *With a view to achieve greater management focus and keeping in mind the paramount and overall interest of the shareholders, the Board of Directors of the Demerged Company and the resulting Company considered that a Scheme of Arrangement for De-merger would be the most appropriate methodology.*

3. An affidavit in support of the above application sworn for and on behalf of the Applicant Company No.1/Demerged Company by one Mr Ved Prakash Chanana and on behalf of the Applicant Company No.2/Resulting Company by one

Ms Sudesh Kumari Dua, being the Director and Authorized Signatory of the Companies respectively have been filed.

4. It is represented that the Scheme does not contemplate any corporate debt restructuring exercise as contemplated under Section 230(2) of the Act.

5. It is further represented that the application filed by the applicant is maintainable in view of Rule3(2) of the Rules and Learned Counsel also submits that the registered offices of the Applicant Companies are situated within the territorial jurisdiction of this tribunal and the Registrar of Companies, NCT, New Delhi.

6. In relation to Super Cassettes Industries Private Limited being the Applicant No.1/Demerged Company in the scheme marked as **Annexure A - 4,** it is submitted that the Company has 8 (eight) Equity Shareholders. It is further represented that the Applicant Company No. 1 has 1(one) secured Creditor and 404 (Four Hundred and four) unsecured creditors. The certificates of chartered accountant in respect of creditors have also been placed on record. In relation to

the shareholders, secured and unsecured creditors, the Applicant Company No. 1 is seeking directions for convening and holding of the respective meetings for their approval to the proposed scheme as there is no consent affidavit having been placed on record in the favour of the Scheme.

7. Super Cassettes Industries Private Limited (Applicant No.1/Demerged Company) was incorporated with the Registrar of Companies, NCT of Delhi & Haryana as a private limited company under the provisions of the Companies Act, 1956 on 11.07.1983. The Company became a deemed public company and word 'private' was deleted from the name of the Company on 12th October, 1988. The Company was converted into a private limited Company and the name of the Company was changed to its present name 'Super Cassettes Industries Pvt Ltd' vide Fresh Certificate of Incorporation dated 11.06.2014, issued by the Registrar of Companies, Delhi & Haryana, New Delhi. The Share Capital structure of the Applicant Company on the date of filing of this Application is as follows:

Particulars	Amount in INR
Authorised Share Capital	
10,00,000 Equity Shares of Rs.100/- each	10,00,00,000
Total	**10,00,00,000**
Issued, Subscribed and Paid-up Share Capital	
4,93,256 Equity Shares of Rs. 100/- each	4,93,25,600
Total	**4,93,25,600**

8. That presently, the Demerged Company is engaged in production of motion picture films, manufacturing of audio/video CDs, acquiring & licensing of audio/visual music rights, digitisation of music, trading of consumer goods and appliances such as music system, LED TV, washing machine, ceiling fan, etc., and other related activities under "T-Series" Brand. Over a period of time, the Company has also diversified into real estate investment and

leasing business, manufacturing of plastic moulded goods and components (Moulding Unit), etc.

9. In relation to Vijarshan Ventures Private Limited being the Applicant No.2/Resulting Company ,it is submitted that the Company has 2 (two) Equity Shareholders. It is further represented that the Applicant No. 2 has no secured or unsecured creditors. The certificates of chartered accountant in respect of creditors have also been placed on record. As the company has no secured and unsecured creditors, the requirement of convening the meeting of the same does not arise. In relation to the shareholders the Applicant No. 2 is also seeking directions for convening and holding of the respective meetings for their approval to the proposed scheme as there is no consent affidavit having been placed on record in the favour of the Scheme.

10. Vijarshan Ventures Private Limited (Applicant No.2/Resulting Company) was incorporated on 10.05.2018 under the Companies Act, 2013 with the Registrar of Companies, NCT of Delhi & Haryana as a Private limited

Company. The Share Capital structure of the Applicant Company on the date of filing this application is as follows:

Particulars	**Amount in INR**
Authorised Share Capital	
10,000 Equity shares of Rs.10/-each	1,00,000
Total	**1,00,000**
Issued, Subscribed and Paid-up Share Capital	
10,000 Equity Shares of Rs.10/- each	1,00,000
Total	**1,00,000**

11. The main Object of the Applicant No.2/Resulting Company as set out in the Memorandum and Articles of Association is briefly stated as follows:

A. To carry on the business as civil contractors and engineers, builders, colonizers, town planners, real estate developers, land developers, real estate

consultants and to otherwise deal in all kind of real estate business.

B. *To purchase, acquire, sell, lease, exchange, hire, let, sub-let, dispose off or otherwise deal in real estates, land, buildings, civil works, moveable and immovable properties of any tenure or description either as owners or on collaborations or joint ventures or otherwise acquire any interest in the same.....*

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.....and to otherwise deal in all kinds of building materials, equipments, plant and machinery used in connection therewith.

C. *To set up and manage amusement parks, health clubs, resorts, hotels, restaurants, health centres, software technology parks, studios or any other place or places of amusement and entertainment or general public utility.*

D. To carry on the business of manufacturing various types of plastic moulded goods and components.

E. To carry on the business of manufacture, design, mould, fabricate, process, job work, buy, sell, import, export, trade, and deal in all kinds of packing materials made of plastics or any other raw materials or combination of materials.

12. That the Resulting Company has been recently incorporated for the proposed de-merger and yet to commence business activities.

13. The above application has been placed before us and this tribunal proceeds to entertain the same. The registered offices of the applicant company is situated within New Delhi which are subject to the territorial jurisdiction of Registrar of Companies, NCT, New Delhi as well as that of this Tribunal.

14. We have perused the Application and the connected documents / papers filed along with the Scheme of

Amalgamation contemplated between the Applicant Companies.

15. The Applicant Companies have filed their Memorandum and Articles of Association and the Demerged Company/Applicant Company No.1 has also filed its last available audited Financial Statements as on 31.03.2017 along with the Provisional Balance sheet as on 31.12.2017.It is further submitted by the Applicant that since the Resulting Company has been recently incorporated for the proposed de-merger, no Financial Statements has been prepared yet.

16. The appointed date as specified in the Scheme is 01.04.2018 subject to the directions of this Tribunal.

17. The Board of Directors of the Applicant No.1 and the Applicant No.2 vide meetings held on 19.05.2018 have unanimously passed resolutions and approved the proposed Scheme of Arrangement as contemplated above and copies of resolutions have also been placed on record by the Company.

18. The Applicant Companies have stated in the application that no investigation proceedings are pending against them under the provisions of the Companies Act, 2013 as on the date of this Application.

19. The Certificates of statutory auditors of all the applicant companies confirming that the accounting treatment in the scheme is in conformity with the Companies (Accounting Standards) Rules, 2016 and Generally Accepted Accounting Principles in India (India GAAP) and is in conformity with Section 133 of the Companies Act, 2013 have been placed on record.

20. Taking into consideration the joint application and the documents filed therewith showing compliance of various provisions of the Companies Act and the rules framed there under, we propose to issue the following directions with respect to convening and holding of the meetings of the Shareholders, Secured and Unsecured Creditors or dispensing with the same as follows:-

S. No.	With respect	With respect	With respect

	to Equity Shareholders	to Secured Creditors	to Un Secured Creditors
Demerged/Applicant Company No.1	Meeting of Equity Shareholders of the Demerged Company be held at **Studio B, Laxmi Video Studio, Plot No. 5, Sector -16A, Film City, Noida-201 301, Uttar Pradesh, on 25.08.2018 at 12:30 noon,** subject to the notice of the meeting being issued.	Meeting of Secured Creditors of the Demerged Company be held at **Studio B, Laxmi Video Studio, Plot No. 5, Sector -16A, Film City, Noida-201 301, Uttar Pradesh, on 25.08.2018 at 2:30 P.M.,** subject to the notice of the meeting being issued.	Meeting of Unsecured Creditors of the Demerged Company be held **at Studio B, Laxmi Video Studio, Plot No. 5, Sector -16A, Film City, Noida-201 301, Uttar Pradesh, on 25.08.2018 at 3:30 noon,** subject to the notice of the meeting being issued.

Quorum	The quorum of the meeting shall be **2** in number.	The quorum of the meeting shall be **1** in number.	The quorum of the meeting shall be **50** in number.
Resulting/Applicant Company No.2	Meeting of Equity Shareholders of the Resulting Company be held at **Studio B, Laxmi Video Studio, Plot No. 5, Sector -16A, Film City, Noida-201 301, Uttar Pradesh, on 25.08.2018 at 1:30 P.M.**, subject to the notice of the meeting being	Since it is represented by the Applicant Company No.2 that there are no Secured Creditors, the necessity of convening a meeting of the same does not arise.	Since it is represented by the Applicant Company No.2 that there are no Unsecured Creditors, the necessity of convening a meeting of the same does not arise.

	issued.		
Quorum	The quorum of the meeting shall be **2** in number.		

B. In case the quorum as noted above for the above meetings of the Applicant Companies are not present at the meetings, then the meetings shall be adjourned by half an hour, and thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meetings. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the

applicant companies to attain at least the quorum fixed, if not more in relation to the approval of the Scheme.

C. **Sh. Parag Tripathi**, Sr. Advocate (Mobile No. 9810002321) is appointed as the Chairperson and **Sh. Rohan Jaitley**, Advocate (Mobile No. 9958757777) is appointed as the Alternate Chairperson for the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors as have been directed to be convened by this Tribunal.

D. The fee of the Chairperson for the aforesaid meetings shall be Rs. 2,00,000/- (Two Lacs) and the fee of the Alternate Chairperson shall be Rs 1,00,000/- (One Lac), in addition to meeting their incidental expenses like GST, etc. Sh. Rajesh Kumar Jindal, C.A. (Mobile No. 9814035424) is appointed as a Scrutinizer and would be entitled to fee of Rs 1,00,000/- (One Lac) for his services in addition to meeting his incidental expenses including GST, etc. The Chairpersons will file their

reports within two weeks from the date of holding of the above said meetings.

E. That individual notices of the said meetings shall be sent by the Applicant Companies through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme of Amalgamation, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

F. That the Applicant Companies shall publish advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily 'FINANCIAL EXPRESS', and in Hindi

Daily 'JAN SATTA' stating the copies of Scheme of Amalgamation, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the Applicant Companies.

G. Voting shall be allowed on the proposed Scheme by voting in person, by proxy, through postal ballot or through electronic means as may be applicable to the respective companies under the Act and rules framed there under. The Chairperson shall as afore stated be responsible to report the result of the meeting within two weeks of the conclusion of the meeting with details of voting on the proposed Scheme.

H. The companies shall individually send notice to Central Government, the Income Tax Authorities, Registrar of Companies NCT Delhi & Haryana and as may be applicable to the respective companies to other sectoral

regulators who may have significant bearing on the operation of the applicant companies or the Scheme per se along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

I. The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of all the companies entitled to attend the meetings as aforesaid.

J. The authorized representative of the Applicant Companies' shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

K. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant Companies.

The application stands allowed on the aforesaid terms.



(M.M. KUMAR)
PRESIDENT



(S.K. MOHAPATRA)
MEMBER (TECHNICAL)

04.07.2018
(Vidya)